# LUNAVALE SKIN: PERFORMANCE, RETENTION & CAPITAL ALLOCATION AUDIT

## Strategic Insights and Q3 2026 Recommendations

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# EXECUTIVE SUMMARY: CORE PORTFOLIO INSIGHTS

**Spring Refill Promotion Performance:** The March 2026 price discount campaign successfully stimulated short-term demand, bringing in **8,487 incremental orders** and **$509,642.40 in additional net revenue**. Deployed ad assets cleared a tight net profit of just **$50,872.10**.

**Retention Health Check:** The brand's 90-day repeat purchase rate has experienced a systemic decay, dropping from **37.90%** in January 2025 down to **27.38%** by March 2026. This trend is entirely driven by a shifting marketing acquisition mix toward low-intent, discount-seeking segments.

**Strategic Capital Reallocation:** Next quarter's available budget pool of **$1,105,991.99** should be aggressively shifted away from high-cost, low-retention channels like Influencer marketing, and reallocated toward high-efficiency growth engines like Paid Search and lifecycle Email campaigns.

# PERFORMANCE & PROFITABILITY: THE SPRING REFILL CAMPAIGN

Completed transactions skyrocketed by **97.04**% in Test regions (17,233 orders) compared to the full-price baseline established by the Holdout regions (8,746 orders).

Average Order Value (AOV) predictably fell by **15.49**% (dropping from **$87.59** to **$74.03** per basket) as a structural concession of the price markdown.

**Strategic Recommendation:** Do *not* replicate this campaign as a blanket, site-wide event. The narrow ~10% net profit margin creates an unstable risk profile if media costs rise.

Incremental Net Revenue: **+$509,642.40** (Incremental ROAS of **1.82x**)

Incremental Gross Margin (65%): **+$331,267.56**

Combined Campaign Ad Spend: **-$280,395.46**

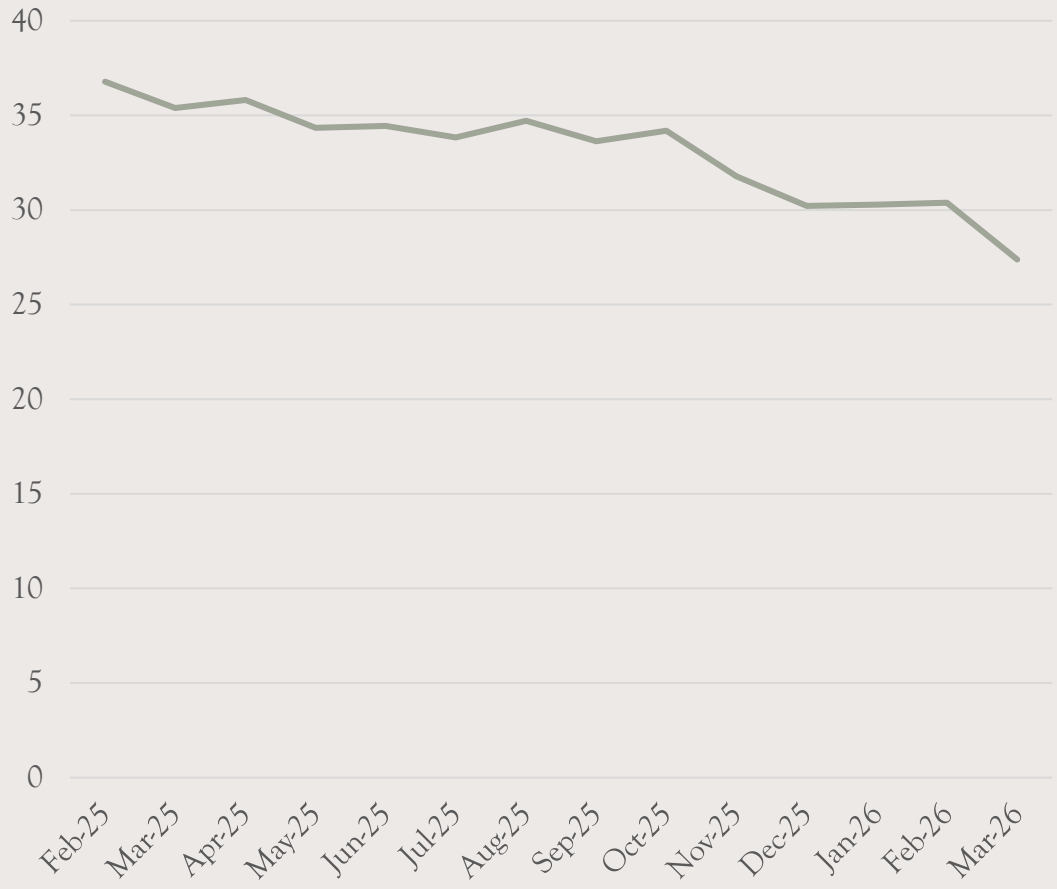
**NET CAMPAIGN PROFIT: +$50,872.10**

# CUSTOMER RETENTION: VERIFYING THE DECAYING REPEAT RATE

Longitudinal cohort tracking confirms a steady erosion of customer loyalty, with the 90-day repeat purchase rate shrinking from **37.90%** down to **27.38%**.

**The Volume Paradox:** Churn is accelerated during massive registration spikes. The March 2026 promotion brought in a record **13,952 brand-new accounts**, yet this specific cohort recorded the worst returning rate (27.38%) in company history.

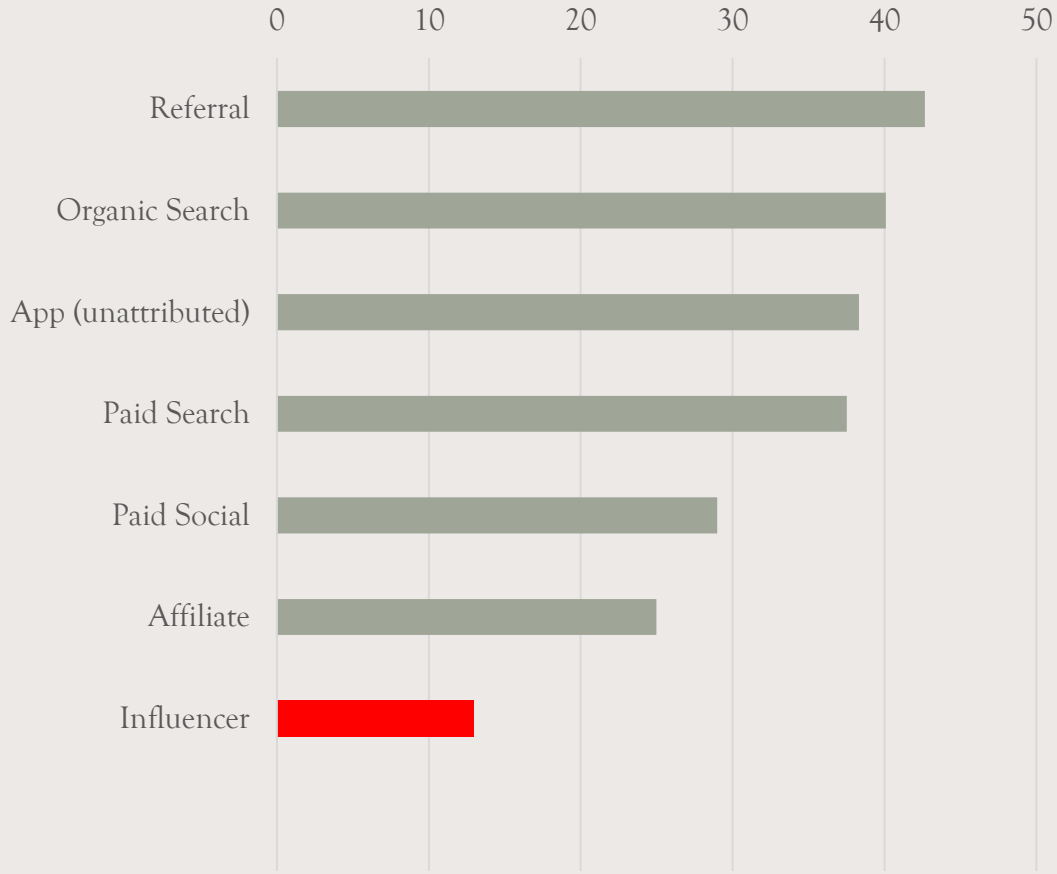
Our customer acquisition strategy is heavily weighted toward buying transactional, discount-driven volume, rather than onboarding customers into a core daily skincare routine.



# ROOT CAUSE ISOLATION: ACQUISITION QUALITY VS. PRODUCT QUALITY

**Product Line Integrity Verified:** Cross-tabulation of retention across all 6 core product lines revealed complete uniformity, hovering tightly between **33.09% (Serums)** and **34.00% (Body)**. Product quality is healthy and is *not* driving churn.

The overarching dip in macro-retention is entirely an **acquisition channel mix problem**. We are over-indexing budget on top-of-funnel channels that yield transient bargain-hunters with zero brand affinity.



# STRATEGIC CAPITAL REALLOCATION: Q3 2026 BUDGET BLUEPRINT

- **Total Available Capital Pool:** Capped at a fixed ceiling of **$1,105,991.99** (pegged 1:1 to Q2 total expenditures across all paid channels).
- **Paid Search (Core Acquisition Engine):** Increase allocation to **45% ($497,696.40)** to protect our stable, high-intent conversion funnel.
- **Paid Social:** Maintain stable allocation at **30% ($331,797.60)** to preserve baseline mid-funnel retargeting audiences.
- **Email Marketing (High-Margin Retention):** Double the allocation to **15% ($165,898.80)**. Capitalizes on our lowest cost-per-click channel ($0.04) to directly combat the falling repeat purchase rate by reactivating the existing database.
- **Influencer & Affiliate (High-Risk/Low-Retention):** Scale back aggressively to a combined **10% total allocation ($110,599.19)**. Re-engineers these channels strictly toward high-intent micro-influencers, eliminating top-of-funnel budget waste.

# TACTICAL DE-RISKING: PROPOSED Q3 MATCHED-MARKET FRAMEWORK

- **The Risk Mitigation Directive:** Shifting massive amounts of ad capital based solely on aggregate historical statistics introduces operational risk. We must validate the strategy locally first.
- **Step 1 (Methodology):** Isolate two historically identical geographic territories from our control set to serve as an experiment (e.g., the Southeast and Great Lakes regions).
- **Step 2 (Execution):** Implement the reallocation early in the Southeast region by cutting influencer spend by 50% and injecting that cash into Paid Search and Email. Leave the Great Lakes region unchanged as our baseline control.
- **Step 3 (Success Threshold):** Track customer influx, Blended acquisition costs (CAC), and 30-day repeat order velocity over a 4-week flight. If performance holds up without volume decay, scale the rollout across all remaining regions.